

Cost to Add a Rental Unit

Two paths, all-in — a basement suite vs. converting a detached structure to an ADU

PREPARED FOR

Syed Imam · property to be identified · August 31, 2026

Planning estimates in 2026 Maryland pricing. Ranges are wide because the biggest costs — septic capacity, waterproofing, and how far utilities must be trenched — depend on the specific house. Get a contractor bid and confirm fees with the county before relying on any number here. Figures cover Baltimore County (Sparks / Phoenix) and Howard County (Ellicott City); where they differ, see the county note on page 2.

Section A — Convert an existing basement into a legal rental suite

Line item	Low	High
DESIGN & ENGINEERING		
Permit drawings / design set	\$1,500	\$5,000
Structural engineer (egress wells, framing changes)	\$500	\$1,500
PERMITS & COUNTY FEES		
Building permit	\$200	\$1,200
Electrical / plumbing / mechanical permits	\$150	\$500
Plan review	\$100	\$400
Zoning / accessory-apartment or ADU permit	\$150	\$1,000
Use & occupancy certificate for the new unit	\$50	\$200
New-dwelling-unit fees (excise + school surcharge — see county note)	\$0	\$8,400
SEPTIC & UTILITIES (most acreage homes are on well + septic)		
Health-dept septic evaluation / perc for an added bedroom	\$250	\$750
Septic capacity upgrade or expansion — only if required	\$0	\$45,000
Separate electric subpanel + circuits	\$4,000	\$10,000
Separate electric meter or submeter (optional)	\$500	\$6,000
HVAC — separate zone or mini-split	\$4,000	\$9,000
CONSTRUCTION		
Egress window(s) + wells (1–2 rooms)	\$3,000	\$10,000
Separate exterior entrance / areaway + door	\$3,000	\$12,000
Framing, insulation, drywall (~600–900 sf)	\$15,000	\$35,000
Kitchen / kitchenette (cabinets, counter, sink, range, fridge)	\$6,000	\$20,000
Full bathroom (add or renovate)	\$8,000	\$18,000
Plumbing rough-in + fixtures	\$6,000	\$15,000
Flooring	\$3,000	\$7,000
Waterproofing / drainage / sump pump	\$1,500	\$18,000
Fire separation + interconnected smoke/CO alarms	\$1,500	\$4,000
Sound insulation between units	\$500	\$2,000
Separate laundry (stacked washer/dryer)	\$1,500	\$3,500
Paint, trim, doors, hardware	\$2,000	\$6,000
LICENSING & SETUP TO RENT		
Rental license + county inspection (Balt. Co. ~\$55/3 yr · Howard \$93.50/2 yr)	\$55	\$95
Lead rental registration + risk-reduction inspection (pre-1978 homes)	\$350	\$800

Landlord insurance increase (per year)	\$400	\$900
BASEMENT SUITE — ALL-IN (septic adequate)	\$45,000	\$110,000
Add if the septic system must be upgraded	\$15,000	\$45,000

Section B — Convert a detached structure (garage) into an ADU

Line item	Low	High
EVERYTHING IN SECTION A, PLUS:		
DESIGN & ENGINEERING		
Full ADU plan set + site plan	\$3,000	\$8,000
Boundary / location survey	\$800	\$2,500
STRUCTURE (existing garage shell)		
Foundation / footing / slab upgrade or replacement	\$10,000	\$40,000
Wall & roof framing reinforcement, new roof	\$8,000	\$30,000
Full insulation package (walls, roof, slab edge)	\$4,000	\$10,000
Windows + exterior doors	\$4,000	\$12,000
UTILITIES TRENCHED FROM THE HOUSE / STREET (the big variable)		
Water line + connection	\$3,000	\$15,000
Sewer line to septic or public main	\$5,000	\$20,000
Electric service / feeder / new meter	\$5,000	\$20,000
Gas line (if used)	\$2,000	\$8,000
BUILD-OUT		
Interior finish — drywall, floors, trim, paint (600–1,200 sf)	\$25,000	\$60,000
Kitchen (full)	\$10,000	\$25,000
Bathroom (full)	\$10,000	\$20,000
HVAC (mini-split or small system)	\$5,000	\$12,000
Water heater	\$1,500	\$4,000
Grading, sediment control, parking pad / walkway	\$2,000	\$15,000
County new-dwelling-unit fees (excise + school surcharge — see note)	\$500	\$8,400
DETACHED STRUCTURE → ADU — ALL-IN	\$120,000	\$260,000
Build a NEW detached ADU from scratch instead	\$180,000	\$400,000

County fee differences

Howard County (Ellicott City): residential permit \$0.25/sq ft; road excise tax \$1.91/sq ft; school facilities surcharge \$8.35/sq ft — but ADUs may be exempt from the school surcharge under Maryland SB 543 (confirm). ADU size limit: up to 75% of the main dwelling's footprint; allowed by-right in more zones since April 2026. Rental license \$93.50, renewed every 2 years, inspection required.

Baltimore County (Sparks / Phoenix): ADU size cap 800 sq ft on lots under 1 acre, 1,200 sq ft over 1 acre. The county's ADU ordinance is being finalized on Maryland's October 1, 2026 deadline — confirm the current permit path with Permits, Approvals & Inspections. Rental registration ~\$48–60/unit, renewed every 3 years, licensed inspection required; short-term rental is a separate \$300/unit registration.

Both counties: any pre-1978 home with a rented unit — Maryland MDE lead rental registration + risk-reduction inspection.

Bottom line

The basement suite is far cheaper — roughly **\$45,000 to \$110,000** all-in if the septic can take it — and the fastest to get rented. Converting a detached garage runs **\$120,000 to \$260,000+**; building a new detached ADU is **\$180,000 to \$400,000+**. Septic capacity, waterproofing, and utility trenching are what move these ranges the most, so those get checked on any specific house before an offer.

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Planning estimates only, not bids or quotes. Not tax, legal, or construction advice. Verify all fees, size limits, and permit requirements with Baltimore County or Howard County and get licensed-contractor bids before relying on these figures.